

With fifteen credit cards and \$50,000 in credit card debt, the precariousness of Chuck's lavish lifestyle came crashing down on him. For Chuck, this reality took four years to become evident—a short time compared to how long it would take him to get out of the debt that he had accumulated! You can run into debt, but you have to crawl out.

How long will it take to pay off balances on a credit card—and how much interest will be paid—if the cardholder pays only the minimum payment each month? The following information assumes a required minimum monthly payment of 2.5 percent at an annual percentage rate (APR) of 15 percent:

<u>Amount</u> <u>Owed</u>	<u>Time</u> <u>Required</u>	<u>Interest</u> <u>Paid</u>	<u>True</u> <u>Cost</u>
\$500	2.4 years	\$100	\$600
\$1,000	6.3 years	\$552	\$1,552
\$2,500	13.9 years	\$2,337	\$4,877

This table shows what would happen if you paid more than the minimum payment on a \$2,500 balance. It is obvious that as the amount of the monthly payment increases, you would significantly decrease the total interest paid and you would appreciably reduce the time required to pay off the balance.

<u>Amount</u> <u>Owed</u>	<u>Monthly</u> <u>Payment</u>	<u>Time</u> <u>Required</u>	<u>Interest</u> <u>Paid</u>	<u>True</u> <u>Costs</u>
\$2,500	\$55 (minimum)	13.9 years	\$2,377	\$4,877
\$2,500	\$80	5.1 years	\$944	\$3,444
\$2,500	\$105	3.1 years	\$584	\$3,084
\$2,500	\$130	2.3 years	\$476	\$2,976
\$2,500	\$155	1.8 years	\$394	\$2,894
\$2,500	\$180	1.4 years	\$323	\$2,823
\$2,500	\$205	1.2 years	\$242	\$2,742

